聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

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Novatek Announces 2023 First Half Consolidated Financial Result & 2023 Third Quarter Outlook:

First Half Revenue & PAT Reached NT$54.34B & NT$11.62B Respectively With EPS of NT$19.1

Hsin-chu, Taiwan, ROC – August 8th, 2023 – Novatek (TSE:3034), a leading global smart display and image total solution provider, today announced its first half consolidated financial result of 2023 and the third quarter outlook at the analyst meeting.

Revenue, operating expense, and operating income in the first half of 2023 reached NT$54.34 billion, NT$9.5 billion, and NT$13.2 billion, representing year-over-year decrease of 20%, 7%, and 43%, respectively. The gross profit margin in the first half of 2023 decreased to 41.82%, from 49.29% in the first half of 2022. Net income in the first half of 2023 decreased by 40.76% year-over-year to NT$11.62 billion, with earnings per share of NT$19.1.

The second quarter revenue was up by 26% quarter-over-quarter to NT$30.3 billion from NT$24.05 billion in Q1'23, and decreased by 3.7% year-over-year from NT$31.46 billion in Q2'22. The quarterly revenue increased sequentially due to a combination of the solid demand from broad-based applications and new products ramp-up. The second quarter gross margin slightly down quarter-over-quarter to 41.74% from 41.91% in Q1'23, but exceeded the guidance due to better product mix and cost reductions.

Second quarter operating expenses increased quarter-over-quarter to NT$5.1 billion from NT$4.4 billion in Q1'23 and increased year-over-year from NT$5.0 billion in Q2'22. Second quarter operating income increased quarter-over-quarter to NT$7.55 billion from NT$5.66 billion in Q1'23 and decreased year-over-year from NT$9.98 billion in Q2'22.

Novatek's 2023 Q2 net income was NT$6.87 billion, which increased quarter-over-quarter by 44.62% from NT$4.75 billion in Q1'23 and decreased year-over-year by 19% from NT$8.49 billion in Q2'22. Earnings per share for Q2'23 were NT$11.29, compared with NT$13.95 in Q2'22.

Management expects overall performance for the third quarter 2023 to be as followings:
Revenue is expected to be between NT$28.1billion and NT$29.1billion
Gross profit margin is expected to be between 38% and 40%
Operating profit margin is expected to be between 21.5% and 23.5%

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Sales & Profits

Million NT dollars	2Q'23	QoQ	1Q'23	2Q'22	YoY
Net Sales	30,299	26.00%	24,046	31,461	-3.69%
Net Gross Profit	12,647	10.87%	10,079	14,982	-15.59%
(Margin %)	41.74	-0.17p	41.91	47.62	-5.86p
Operating Income	7,550	8.69%	5,662	9,985	-24.38%
Net Income	6,872	44.61%	4,752	8,487	-19.03%
EPS (NT$)	11.29	3.48	7.81	13.95	-2.66

Sales Breakdown by Product

Million NT dollars	2Q'23	QoQ	1Q'23	2Q'22	YoY
SoC	11,059	17.65%	9,400	10,555	4.77%
Driver IC	19,327	33.22%	14,508	21,171	-8.71%
Total	30,386	27.10%	23,908	31,726	-4.22%

About Novatek

Novatek was established in 1997, specializing in display and image centered total solutions ranging from full line of display ICs and SoC for all display and image applications. The Company is the world's largest supplier of display driver ICs, and is ranked as the world 8th largest and Taiwan's 3rd largest fabless company in terms of sales revenue in 2022. For more information, please visit the company's web site at **www.novatek.com.tw.**

Novatek Microelectronics Corp.
Financial Report 2023 Q2



Issued in Aug 2023

Monthly Sales

MNT$

	2023	2022	+ (-) %
January	7,223	12,317	-41%
February	7,641	11,725	-35%
March	9,181	12,470	-26%
April	9,961	12,320	-19%
May	10,225	10,984	-7%
June	10,112	8,158	24%
July	9,675	6,866	41%
August		6,527	
September		6,171	
October		6,873	
November		7,779	
December		7,769	
Total:	64,020	109,957	-42%
Jan.~Jul.	64,020	74,839	-14%

Sales Breakdown By Products

MNT$

Product	2023/Q2		2023/Q1		2022/Q4		2022/Q3		2022/Q2	
	AMT	%	AMT	%	AMT	%	AMT	%	AMT	%
SOC	11,059	37	9,400	39	7,823	35	7,436	38	10,555	34
DRIVER	19,327	64	14,508	60	14,601	65	12,205	62	21,171	67
Total:	30,386	100	23,908	99	22,424	100	19,641	100	31,725	101
OTHERS	51	0	265	1	98	0	32	0	73	0
Return & Allowance	(138)	(0)	(127)	(1)	(102)	(0)	(109)	(1)	(337)	(1)
Grand Total:	30,299	100	24,046	100	22,420	100	19,564	100	31,461	100
Growth	26%		7%		15%		-38%		-14%	

Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

	2023/1-6	%	2022/1-6	%	Growth %
Net sales	54,344,911	100.00	67,972,827	100.00	**(20.05)**
Cost of good sold	(31,619,285)	(58.18)	(34,466,288)	(50.71)	(8.26)
Gross Profit	22,725,626	41.82	33,506,539	49.29	(32.18)
Operating Exp.	(9,513,332)	(17.51)	(10,241,764)	(15.07)	(7.11)
Selling & Adm.	(1,363,244)	(2.51)	(1,558,726)	(2.30)	(12.54)
R & D Exp.	(8,150,088)	(15.00)	(8,683,038)	(12.77)	(6.14)
Operating Income	13,212,294	24.31	23,264,775	34.22	(43.21)
Net Non-Operating	922,035	1.70	996,912	1.47	(7.51)
Income Before Tax	14,134,329	26.01	24,261,687	35.69	(41.74)
Income Tax Exp.	(2,510,594)	(4.62)	(4,640,024)	(6.82)	(45.89)
Net Income	11,623,735	21.39	19,621,663	28.87	**(40.76)**
EPS	**19.10**		**32.25**		

Consolidated Income Statement (Q2 YoY)

(Expressed In New Taiwan Thousand Dollars)

	2023/Q2	%	2022/Q2	%	Growth %
Net sales	30,299,029	100.00	31,461,142	100.00	**(3.69)**
Cost of good sold	(17,652,206)	(58.26)	(16,478,682)	(52.38)	7.12
Gross Profit	12,646,823	41.74	14,982,460	47.62	(15.59)
Operating Exp.	(5,096,493)	(16.82)	(4,997,806)	(15.88)	1.97
Selling & Adm.	(719,939)	(2.37)	(761,785)	(2.42)	(5.49)
R & D Exp.	(4,376,554)	(14.45)	(4,236,021)	(13.46)	3.32
Operating Income	7,550,330	24.92	9,984,654	31.74	(24.38)
Net Non-Operating	721,370	2.38	511,533	1.62	-
Income Before Tax	8,271,700	27.30	10,496,187	33.36	(21.19)
Income Tax Exp.	(1,399,801)	(4.62)	(2,009,452)	(6.38)	(30.34)
Net Income	6,871,899	22.68	8,486,735	26.98	**(19.03)**
EPS	**11.29**		**13.95**		

Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

	2023/Q2	%	2023/Q1	%	Growth %
Net sales	30,299,029	100.00	24,045,882	100.00	**26.01**
Cost of good sold	(17,652,206)	(58.26)	(13,967,079)	(58.09)	26.38
Gross Profit	12,646,823	41.74	10,078,803	41.91	25.48
Operating Exp.	(5,096,493)	(16.82)	(4,416,839)	(18.37)	15.39
Selling & Adm.	(719,939)	(2.37)	(643,305)	(2.68)	11.91
R & D Exp.	(4,376,554)	(14.45)	(3,773,534)	(15.69)	15.98
Operating Income	7,550,330	24.92	5,661,964	23.54	33.35
Net Non-Operating	721,370	2.38	200,665	0.84	259.49
Income Before Tax	8,271,700	27.30	5,862,629	24.38	41.09
Income Tax Exp.	(1,399,801)	(4.62)	(1,110,793)	(4.62)	26.02
Net Income	6,871,899	22.68	4,751,836	19.76	**44.62**
EPS	**11.29**		**7.81**		

Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

	2023/6/30	2023/3/31	2022/12/31	2022/9/30	2022/6/30
Cash and Cash Equivalents	63,437,035	56,994,035	49,170,893	39,599,462	70,261,986
Short Term Loans	0	0	0	0	0
Net Cash	63,437,035	56,994,035	49,170,893	39,599,462	70,261,986
QoQ Change	6,443,000	7,823,142	9,571,431	(30,662,524)	2,447,327
Notes & Accounts receivable	20,557,090	16,947,416	15,764,511	13,971,711	21,408,187
QoQ Change	3,609,674	1,182,905	1,792,800	(7,436,476)	(2,517,499)
Inventory	10,516,018	10,591,430	12,028,871	17,179,972	18,836,561
QoQ Change	(75,412)	(1,437,441)	(5,151,101)	(1,656,589)	2,500,136